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FREE FOUNDER RESOURCE

The Dev Shop Contract *Red Flags* Checklist

The 7 clauses that quietly cost non-technical founders their money, their timeline — and sometimes their IP. Check every one before you sign.

Dev shops aren't evil. But their contracts are written by **their** lawyers, protecting **their** downside. If nobody technical is reading for you, these are the seven places it goes wrong. Grab your contract and check them in order — 20 minutes, tops.

1 Who owns the code?

Look for "work made for hire" and IP assignment language. Many agreements license you the software while the shop keeps ownership — or keeps "pre-existing components" so broad it swallows your whole product. Your investors WILL ask about this in diligence.

> **Green flag:** full IP assignment to your company on payment, with any reused libraries listed by name in an exhibit.

2 What does "done" legally mean?

If acceptance criteria aren't written down, "done" means whatever the shop says it means. You'll be arguing about whether a half-working feature counts as delivered — after the invoice arrives.

> **Green flag:** written acceptance criteria per milestone + an acceptance window (5–10 business days) where you can reject with specifics.

3 The hourly-overage trapdoor

"Fixed price" contracts with a clause that anything outside the (vague) spec bills at $150–250/hr. The vaguer the spec, the bigger the trapdoor — this is where $60k builds become $110k builds.

> **Green flag:** change requests require written estimates approved by you BEFORE work starts. No silent meter.

4 Who holds the keys?

Repos, cloud accounts, domains, app store listings — if they live under the shop's accounts, you don't own your product, you rent it. Firing the shop shouldn't mean losing prod access.

> **Green flag:** everything runs in YOUR GitHub org, YOUR cloud account, YOUR domain registrar from day one. They get invited in.

5 The maintenance handcuff

Auto-renewing "support retainers," or warranties void the moment anyone else touches the code. Both are designed to make leaving expensive.

> **Green flag:** support is month-to-month after launch, and the warranty survives normal maintenance by your own team.

6 No exit plan

What happens if you terminate mid-build? Many contracts say: they keep the money AND the work-in-progress. You should be able to walk away with everything you've paid for.

> **Green flag:** termination for convenience with 14–30 days notice; all paid-for work product (code, designs, docs, credentials) handed over within 10 days.

7 The documentation black hole

No obligation to document = a codebase only they can maintain = you're locked in forever, whatever the contract says. This is the quietest lock-in of all.

> **Green flag:** README, architecture overview, deploy runbook, and environment setup docs are named deliverables with their own milestone.

How to use this before you sign

1. Score the contract: each clause above is a pass/fail. **Two or more fails = renegotiate before signing.**
2. Send the shop your redlines in writing. Reasonable shops accept most of these — the ones that won't are telling you something.
3. Get 30 minutes of senior technical eyes on the spec itself. The contract protects the build; the spec decides what you're actually buying.

WORK WITH AMWARE

Don't sign a $50k+ build blind.

Contract & Spec Audit
I review your dev shop contract and spec, flag every red clause, and hand you the redlines — before you sign.

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